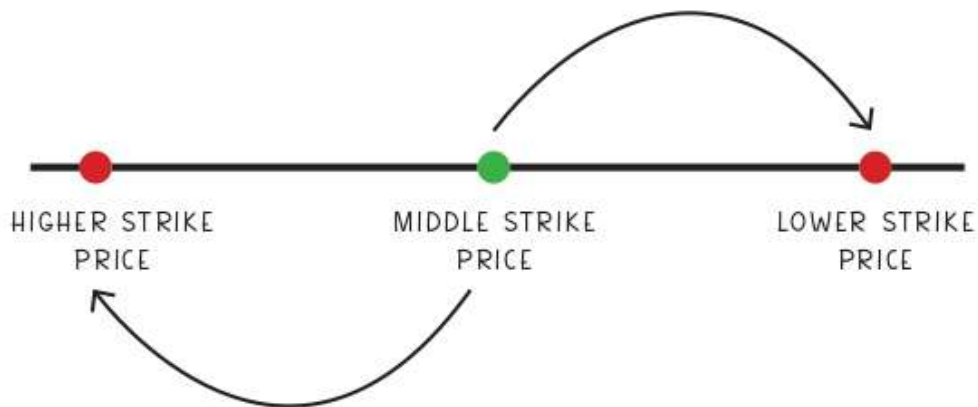


RULE:

$$\text{Lower strike price} - \text{Middle strike price} = \text{Higher strike price} - \text{Middle strike price}$$

This means that the difference between the higher strike price and middle strike price will be same as the difference between the middle strike price and lower strike price.



LONG CALL BUTTERFLY

This particular type of butterfly strategy is called Long Call Butterfly. Here, we buy a call option, sell two call options at a higher strike price and then buy another call option at an even higher strike price

For instance,



This butterfly spread is a combination of a Bull call spread and a Bear call spread. Such a strategy leads to net outflow of premium.

Note that the ratio of 1:2:1 is maintained as 1 Long: 2 Short: 1 Long.